August 2, 2024

Senator Anna Caballero
Chair of the Senate Appropriations Committee
Capitol Office, 1021 O Street, Suite 7620
Sacramento, CA 95814-4900

Senator Brian W. Jones
Vice Chair of the Senate Appropriations Committee
Capitol Office, 1021 O Street, Suite 7640
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RE: Ad Trade Letter in Opposition to California AB 3048

Dear Chair Caballero and Vice Chair Jones:

On behalf of the advertising industry, we respectfully oppose AB 3048 in its current form, and we offer this letter to express our non-exhaustive list of concerns about this legislation.[1] We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. **However, California consumers already have access to opt-out preference signals in the marketplace. Consumers can use browsers that enable such signals or download extensions or other technologies that allow them to set such signals. AB 3048 is therefore unnecessary.** In addition, the bill is ambiguous, would harm competition, and would delegate broad authority to the California Privacy Protection Agency ("CPPA") to issue regulations for standards that should instead be set by the legislature. The Senate Appropriations Committee ("Committee") should decline to advance the bill any further in the legislative process.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.[2] By one estimate, over 1.1 million jobs in California are related to the ad-subsidized Internet.[3] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

[1] California AB 3048 (2023-2024 Reg. Sess.), located here.
[2] John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located here.
[3] *Id.* at 121-23.

I. AB 3048 Is Ambiguous and Would Harm Competition

As drafted, AB 3048 would require browsers to permit consumers to send opt out preference signals to all "businesses with which the consumer interacts *through the browser*."[4] This language is ambiguous, as it does not clarify whether signals must also be sent to and effective on the browser itself. Mandating that browsers and mobile operating systems deploy and maintain opt-out preference signals could sanction anti-competitive results caused by how these intermediaries implement these requirements. The Committee should decline to approve AB 3048 because the bill is ambiguous and would harm competition.

II. AB 3048 Would Delegate Regulatory Authority to the CPPA on Topics That Should Be Set by the California Legislature

AB 3048 would give the CPPA authority to issue regulations as necessary to implement its requirements and to update definitions of key terms such as "browser" and "mobile operating system."[5] This grant of regulatory authority is too broad. The California legislature—not an administrative agency—should be the body that sets the foundational premise of who is to be regulated under applicable law. The legislature should not move AB 3048 forward because the bill provides little to no direction to guide or restrain the CPPA regarding issues of key significance, such as who is subject to the bill's terms.

In addition, the bill's broad regulatory authority would essentially reward the CPPA for overstepping clear legislative text under the California Consumer Privacy Act of 2020 ("CCPA") in its regulations to implement that law. The CCPA itself clearly states that opt out preference signals are *optional* for businesses to observe.[6] Under the law, businesses may *either* provide a footer link to enable consumers to opt out of sales and sharing *or* to allow consumers to opt out via an opt-out preference signal. Through regulations, the CPPA turned this option on its head by mandating that businesses honor opt-out preference signals. Through its sponsorship of AB 3048, the CPPA looks to further solidify this position by taking its original extralegal interpretation of the CCPA one step further by mandating that businesses must support opt-out preference signals for all browsers and mobile operating systems. The California legislature should not tolerate or bless state agency regulations that contravene clear provisions in law.

Finally, AB 3048 would delegate to the CPPA additional regulatory authority at a time when the agency is already mired with regulatory processes in several other areas, such as automated decisionmaking technology, cybersecurity audits, data broker registration requirements, regulations to implement the California Delete Act, and updates to existing California Consumer Privacy Act

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[4] AB 3048, Sec. 1, Cal. Civ. Code § 1798.136(a)(1) (emphasis added).
[5] *Id.* At §§ 1798.136(b), (c), and (d).
[6] According to the CCPA, businesses "**may elect**" to either (a) "[p]rovide a clear and conspicuous link on the business's internet homepages, titled 'Do Not Sell or Share My Personal Information'" **or** (b) allow consumers to "opt out of the sale or sharing of their personal information… through an opt-out preference signal sent with the consumer's consent by a platform, technology, or mechanism…." Cal. Civ. Code §§ 1798.135(a), (b), (b)(3). The CCPA therefore gives businesses the choice to either allow consumers to opt out through a do-not-sell link on their homepage(s) or through opt-out preference signals.

regulations. The California legislature should consider whether adding yet another regulatory directive to the CPPA's agenda, with numerous pending deadlines, would overburden the agency, especially when it already has several other regulatory processes ongoing.

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Thank you in advance for your consideration of this letter. We ask you to refrain from advancing AB 3048 further in the legislative process, as its provisions are unnecessary and ambiguous, would harm competition, and would delegate broad and unchecked regulatory authority to the CPPA.

Sincerely,

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CC: Members of the Senate Appropriations Committee

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